

old stock issues eliminated, then the value of the new common stock thus created cannot be less than the present value of the bond.

This relationship must hold true regardless of how high the coupon or dividend rate, the par value or the redemption price of the senior issue may be and, particularly, regardless of what amount of unpaid interest or dividends may have accumulated. For if we had a preferred stock with accumulations of \$1,000 per share, the value of the issue could be no greater than if it were a common stock (without dividend accumulations) representing complete ownership of the business. The unpaid dividends cannot create any additional value for the company's securities in the aggregate; they merely affect the division of the total value between the preferred and the common.

Excessive Emphasis Placed on Amount of Accrued Dividends. Although a very small amount of analysis will show the above statements to be almost self-evident truths, the public fails to observe the simplest rules of logic when once it is in a gambling mood. Hence preferred shares with large dividend accruals have lent themselves readily to market manipulation in which the accumulations are made the basis for a large advance in the price of both the preferred and common. An excellent example of such a performance was provided by American Zinc, Lead, and Smelting Company shares in 1928.

American Zinc preferred stock was created in 1916 as a stock dividend on the common, the transaction thus amounting to a split-up of old common into preferred and new common. The preferred was given a stated par of \$25 but had all the attributes of a \$100-par stock (\$6 cumulative dividends, redemption and liquidating value of \$100). This arrangement was evidently a device to permit carrying the preferred issue in the balance sheet as a much smaller liability than it actually represented. Between 1920 and 1927 the company reported continuous deficits (except for a negligible profit in 1922); preferred dividends were suspended in 1921, and by 1928 about \$40 per share had accumulated.

In 1928 the company benefited moderately from the prevailing prosperity and barely earned \$6 per share on the preferred. However, the company's issues were subjected to manipulation that advanced the price of the preferred from 35 in 1927 to 118 in 1928, while the common rose even more spectacularly from 6 to 57. These advances were accompanied by rumors of a plan to pay off the accumulated dividends—